

WHY INDIANS STILL BUY FEATURE PHONES

A LONG BATTERY LIFE, STURDY BUILD AND INCREDIBLE VALUE FOR MONEY

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Smartphone sales were expected to overtake feature phone sales in 2016. However, according to an Economic Times report, that did not actually happen. In 2016, more feature phones were shipped in India than smartphones. In a global context, smartphone sales are actually slowing down. This is because an increasing number of consumers are using their devices for longer periods, and see less value in an upgrade.

In 2017, the JioPhone was introduced, which was an entirely new category of its own. It had a digital assistant, came bundled with streaming services, and even had an app ecosystem. Additionally, they had a conveniently located torch, as well as a radio, two features that rural users demand. Jio could pack all this by compromising on the size of the device, and made it rather bulky. However, the device was priced right, and it was designed for use in India from the ground up. The JioPhone was known as a “smart feature phone”, and has significantly contributed to the feature phone market since then. Over six million devices were pre-booked within three days of the launch of the device. The growth in the feature phone segment is driven strongly by this one device. The revival of Nokia by Microsoft and HMD has also contributed. Nokia was the dominant mobile manufacturer in India till 2012, when it was replaced by Samsung. It remains a favorite. Now,



4G feature phones are expected to give sales a boost as well.

In 2018, India was the fastest growing smartphone market, with a growth rate of 10 percent, according to Counterpoint Research. At the same time, more people are buying feature phones as well, and in 2018, the feature phone market actually grew faster than the smartphone market.

Tarun Pathak, Associate Director at Counterpoint Research says, “This is the first time the feature phone market grew faster than the smartphone market. India remains the largest market in terms of global feature phone volume. India and Middle East are driving the feature phone market, capturing almost 3/4th of global feature phone sales in 2018. This highlights that while India is a fast-growing

smartphone market, feature phones remain relevant for a large section of the population. Reliance Jio captured 38% of the feature phone segment in just over a year with its compelling value proposition compared to normal 2G feature phones. Additionally, the Jio Monsoon Hungama offer focusing on upgrading 2G feature phone users, helped it to drive sales during the second half of 2018.”

The Mobile Marketing Association (MMA) and Kantar IMRB also looked into feature phones in India, to better understand how they were actually being used. Some of the results are surprising, and demolishes some of the most common myths about feature phones. It is not that only the poor and those living in rural areas opt for feature phones. Feature phones are used